Case study of Disney–Pixar Merger and Acquisitions restructuring

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Introduction

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In an attempt to revitalise its faltering animation division, Disney, the well-known US media and entertainment conglomerate, purchased Pixar in 2006. With a run of mediocre films and waning viewer interest such as Treasure Planet which resulted in financial loss for Disney , Disney's own animation studio was struggling at the time. Pixar, in contrast, had established a reputation for producing inventive, excellent animated films such as Finding Nemo and Toy Story. Disney paid $7.4 billion to acquire Pixar in an attempt to revitalise its brand, repair its ailing animation pipeline, and reclaim market dominance.

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Pixar and Disney before merger (2006)

Background

“By 2004, the two companies could not agree on a new deal, and Pixar announced it would seek a new distributor for its films after its agreement with Disney ended following *Cars* (2006).” Source;https://en.wikipedia.org/wiki/Walt_Disney_Animation_Studios?

Disney

Disney was a huge competitor in the Media industry

Disney’s revenues were increasing. For example in 2002 the overall revenue was $ 25,329 million while the overall revenue during 2006 was $34,285 million .Disney’s Segment Operating Income during 2002 was $3,047 million which has more than doubled by 2006 to $6,491 million

However during that period of time (2001-2006)some of the movies released by Disney were not a hit such as Treasure Planet.Treasure Island’s budget was 140 million but the money gained by the box office is 109.6 million which costed Disney a huge cost of 30.4 million. Their diluted earnings per share before the cumulative effect of $0.60 during 2002 while it has almost tripled to $1.64 during 2006

This showed that Disney’s in-house animation was underperforming due the loses.Disney needed a creative refresh

Sources ;

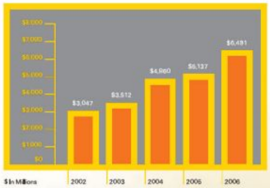
https://thewaltdisneycompany.com/app/uploads/WDC-AR-2006.pdf

https://en.wikipedia.org/wiki/Treasure_Planet?

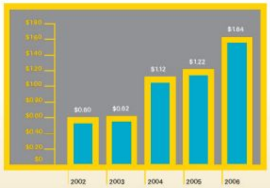
FINANCIAL HIGHLIGHTS

($ in millions, except per share amounts)	2002	2003	2004	2005	2006
Revenues					
Media Networks	$ 9,733	$10,941	$11,778	$13,207	$14,638
Parks and Resorts	6,465	6,412	7,750	9,023	9,925
Studio Entertainment	6,691	7,364	8,713	7,587	7,529
Consumer Products	2,440	2,344	2,511	2,127	2,193
	$25,329	$27,061	$30,752	$31,944	$34,285
Segment Operating Income[1][2]					
Media Networks	$ 1,227	$ 1,557	$ 2,574	$ 3,209	$ 3,610
Parks and Resorts	1,157	946	1,077	1,178	1,534
Studio Entertainment	273	620	662	207	729
Consumer Products	390	389	547	543	618
	$ 3,047	$ 3,512	$ 4,860	$ 5,137	$ 6,491
Diluted earnings per share before the cumulative effect of accounting changes[3]	$ 0.60	$ 0.65	$ 1.12	$ 1.24	$ 1.64
Cumulative effect of accounting changes	—	(0.03)	—	(0.02)	—
Diluted earnings per share[3]	$ 0.60	$ 0.62	$ 1.12	$ 1.22	$ 1.64
Cash provided by operations	$ 2,286	$ 2,901	$ 4,370	$ 4,269	$ 6,058
Free cash flow[1]	$ 1,200	$ 1,852	$ 2,943	$ 2,446	$ 4,759
Effect of Euro Disney and Hong Kong Disneyland consolidation	—	—	202	594	150
Free cash flow before consolidation of Euro Disney and Hong Kong Disneyland[1]	$ 1,200	$ 1,852	$ 3,145	$ 3,040	$ 4,909

Segment Operating Income [1][2]



Diluted Earnings Per Share [3]



Source;https://thewaltdisneycompany.com/app/uploads/WDC-AR-2006.pdf

Pixar

During the period of 2001 to 2006 Pixar had back-to-back hits over this period. For example , during 2001 Monsters Inc was released with a budget of 115 million. The money gained by the box office is 579.7 million which was an incredibly large profit for Pixar. Another example is The Incredibles which was released during 2004 with a budget of 92-145 million. The profit from this movie alone was between 486.6- 539.6 million. This demonstrated to the Media industry that Pixar was a huge competitor

Sources;

https://en.wikipedia.org/wiki/The_Incredibles

https://en.wikipedia.org/wiki/Monsters,_Inc.

Source: https://www.origoeducation.com.au/blog/maths-in-pixar/

Reasons why Disney wanted to buy Pixar (2006)

Creative Refresh

When Disney buys Pixar they would gain access to Pixar's creative ideas and creative writers which would refresh the creative scene at Disney

Disney would still be able to distribute Pixar's movies and gain profit

By acquiring Pixar they would still have access to the pipeline of hit films. As a distributor , they would gain a lot of profit when movies from Pixar when they become a hit

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Merger and Acquisitions Restructuring Actions

Restructuring actions

Disney bought Pixar for 7.4 billion

“The Walt Disney Company announced today that it has agreed to acquire computer animation leader Pixar in an all-stock transaction valued at $7.4 billion.” Source;https://thewaltdisneycompany.com/disney-to-acquire-pixar/

Kept Pixar’s Culture Intact

“Pixar’s unique culture and creative success will be preserved, and the talented Pixar team will continue to operate from its current headquarters in Emeryville.” Source;https://thewaltdisneycompany.com/disney-to-acquire-pixar/

Creativity from Pixar was integrated

Bob Iger gave Pixar full creative autonomy, ensuring Disney embraced rather than replaced [it].” This shows that PIxar’s creativity was integrated Source;https://www.cliffsnotes.com/study-notes/23925378?

Ed Catmull and John Lasseter put in charge of Disney Animation

“Dr. Ed Catmull... will serve as President of the new Pixar and Disney animation studios... John Lasseter... will be Chief Creative Officer...”Source;https://thewaltdisneycompany.com/disney-completes-pixar-acquisition/

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Results

Results from the Merger

A revitalized Disney

By bringing in top-notch creative leadership and state-of-the-art animation technology, the Pixar acquisition revitalised Disney and turned its faltering animation division into a blockbuster powerhouse. It launched a new wave of popular animated films , such as Frozen and Inside Out, and restored Disney's reputation for telling compelling stories.

Creative freedom was maintained at Pixar

These movies exemplify Pixar’s hallmark creativity. These creative movies continued to attract audiences and gain huge profits

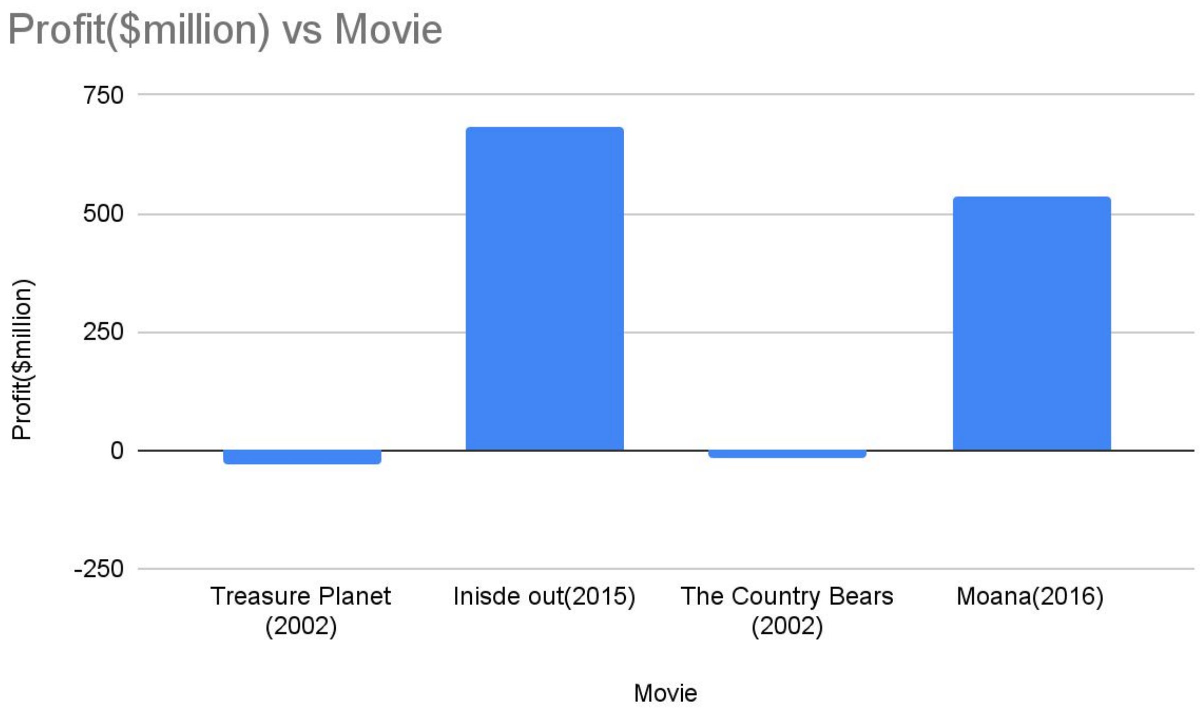
Among the most successful media mergers and acquisitions

The Disney–Pixar merger is regarded as one of the most successful media mergers because it increased the value of Disney's animation and brand while preserving Pixar's creative culture, resulting in a string of highly successful, critically acclaimed movies. It demonstrated how a company's success can be significantly higher when complementary strengths are combined than when either is used alone.

Post-merger movie profit chart

Movie	Budget	Box Office	Profit	Source
Frozen	$150 million	$1.280 billion	$1.13 billion	https://en.wikipedia.org/wiki/Frozen_(2013_film)
Inside Out	$175 million	$858.8 million	$683.8million	https://en.wikipedia.org/wiki/Inside_Out_(2015_film)
Moana	$150–175 million	$687.2 million	$512.2-537.2 million	https://en.wikipedia.org/wiki/Moana_(2016_film)

Post-merger movie profit chart



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Lessons

Cultural fit is essential.
It's not just about money or goods when two businesses merge; their work cultures must work hand in hand

Conflicts may arise if workers have drastically different work styles, values, or levels of creative freedom.

Pixar's distinctive, transparent, and imaginative culture contributed to the quality of its films. Rather than imposing changes, Disney honoured that culture.

After the merger, this kept Pixar's creative spirit alive.

It's critical for creative industries to retain talent.
The company's greatest asset in creative industries like animation is its workforce, which includes directors, artists, and storytellers.

Innovation and quality may suffer if important creative personnel leave.

By giving Pixar's artists and leadership creative freedom, Disney was able to keep them inspired.

Innovation can sometimes be acquired in addition to growth.
Companies frequently purchase others in order to increase their market share or earnings. But occasionally, ometimes, the main objective of a merger is not financial gain, but acquiring innovation

Disney bought Pixar to expand and improve its own creative capabilities.

Disney's own studios lacked the innovative storytelling and animation techniques that Pixar brought.

Acquisitions of this nature encourage innovation and maintain the business's long-term competitiveness.